3.1.1 Types of objective

Unit 3.1 What is business? · 8 key points

- **Objectives named by AQA:** profit, growth, survival, cash flow, social and ethical
- **Profit:** e.g. a target level of profit or profit margin; needed for reward and reinvestment
- **Growth:** e.g. higher sales, market share or more outlets; brings economies of scale
- **Survival:** most important for new businesses or in a recession
- **Cash flow:** e.g. keeping a minimum cash balance so bills can be paid
- **Social and ethical:** e.g. cutting emissions or paying suppliers fairly
- **Why objectives differ:** size, ownership, age of business, competition, economic conditions
- **Conflict:** e.g. growth may reduce short-term profit; ethical sourcing may raise costs